

BOARD MEETING OF THE CBA
MINUTES (14.09.2021)

On the Refinancing Rate

The CBA Board Meeting of September 14, 2021 attended by CBA Governor Martin Galstyan, Deputy Governors Nurses Yeritsyan and Vakhtang Abrahamyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, Hovhannes Khachatryan and Davit Nahapetyan

The Board meeting opened with a report of the situation as of September 14. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy.

As noted, in August 2021, 0.4% deflation was recorded, as opposed to deflation of 0.1% registered in the same month of the previous year, as a result of which ***12-month inflation continued to grow, reaching 8.8% by the end of the month.*** The monthly inflation was contributed by 0.5% growth in “Food, Beverages and Tobacco” product group, 0.4% growth of non-food prices and 0.1% growth of service prices. A particularly large growth of 1.82% was registered in seasonal food products. In recent months, the 12-month core inflation dynamics was in overall stable, remaining around 8.0%.

Current developments in the foreign sector in 2021 were presented, according to which economic activity and aggregate demand in Armenia's key partner countries continue to grow faster than expected, although there has been some slowdown in the coronavirus vaccination rates and new outbreaks of the pandemic in a number of countries. At the same time, it was stated that as a result of the implementation of expansionary monetary and fiscal policies, under the impact of the rapid growth in demand in the global economy and limited supply of a number of products, prices will remain high throughout the forecast horizon in international commodity markets. Furthermore, as a result of the mentioned supply and demand factors, inflation and inflation expectations in the partner countries of Armenia were higher than it was projected. In such a situation, Central Banks of the leading countries have been already outlining, and Central Banks of developing countries, particularly Russia, moving towards tightening monetary policy.

The Board reviewed current developments of the RA economy, and it was noted that the growth of economic activity exceeds the

expectations of the Central Bank, mainly due to the high growth observed in the spheres of agriculture and services. According to the Central Bank estimations, these trends will continue in the short term, therefore the annual economic growth forecast has been revised upwards. Aggregate demand also grew faster than expected during the quarter, driven by strong private consumption growth, higher-than-expected remittances, and a positive external demand environment. In contrast, private investment is still low because of economic and political uncertainties, and it is estimated that the slow recovery of investment in the forecast horizon will have a negative impact on domestic demand and GDP growth potential. It is also estimated that in the context of the outstripping growth of private consumption over investments and production capacities the environment of domestic demand currently has a mainly enhancing effect on inflation growth. It was noted that while amid the high growth of private consumption, growth rate of imports is accelerated, the faster growth of exports and large volumes of remittances from abroad contribute to the improvement of the current account.

The Board reviewed the developments in financial market of the Republic of Armenia and noted that in the reporting period, short-term market interest rates were formed around policy interest rate of the Central Bank. Previous increases in refinancing rate have been reflected in the government bond market, where yields have risen along the entire curve. At the same time, it was noted that the previous tendencies of the banking system relating to the process of lending to the economy continue: the 12-month growth rate of total lending is slowing down mainly because of the decline in consumer loans, while mortgage lending continues to rise.

The Board also referred to the existing inflation environment and inflation developments. In this context, it was noted that the faster-than-expected growth of inflation is mainly the result of significant rise in seasonal food prices, which, according to projections, will soon show the opposite trend, lowering headline inflation. At the same time, core inflation has been lower than projected, reflecting the impact of the recent tightening of the Central Bank's monetary policy. It was noted that the observed appreciation of the real exchange rate will also contribute to the further decline of both headline and core inflation in the coming period. As a result, already by mid-2022, inflation will approach the target of 4%.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. Taking into account the spill-over inflationary effects still

transmitted from foreign and Armenian economies under the presented developments, ***the Forecasting team suggested to the Board increasing the refinancing rate by 0.25 percentage points.***

Members of the Board did not come to a consensus on this issue: some Board members approved the presented macroeconomic scenario and policy proposal, while others considered that the recent relatively strong tightening of monetary terms had a significant impact on curbing inflation, and preferred to leave the interest rate unchanged for the time being. ***Finally, the CBA Board decided with a difference of one vote to increase the refinancing rate by 0.25 percentage points.*** With this step, the Board reaffirmed the goal of neutralizing the monetary expansionary stance, as well as the effectiveness of the implemented monetary policy of curbing inflation and inflation expectations. It was projected that under such conditions, 12-month inflation would remain high until the end of the year, then in 2022 it will approach the target of 4% and stabilize around it in the medium term.

The Board of the Central Bank noted that the risks of inflation deviation from the projected medium-term trend amid the still uncertain economic prospects are balanced, and in case of their materialization the Central Bank stands ready to respond accordingly in fulfilment of the price stability objective.

The Board approved interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

INTEREST RATES OF THE REPUBLIC OF ARMENIA CENTRAL BANK OPERATIONS IN FINANCIAL MARKET

By virtue of Article 2.3 (20) “c” and “e” points of the Republic of Armenia law “On the Central Bank”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Republic of Armenia Central Bank, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 7.25%.
2. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 8.75%.
3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 5.75%.
4. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank
September 14, 2021

PRESS RELEASE
14.09.2021

At the September 14, 2021 meeting, the CBA Board decided to raise the refinancing rate by 0.25 pp, setting it at 7.25%.

Inflation of 0.4% was recorded in August 2021 as opposed to deflation of 0.1% registered in the same month of the previous year, in which case the 12-month inflation has continued to increase amounting to 8.8% at the end of the month; the 12-month core inflation in August persisted around 8.0% as well.

In the third quarter of 2021, despite some slowing in the use of coronavirus vaccines around the world and new outbreaks of the pandemic in many countries, the economic activity and aggregate demand in the main partner countries to Armenia continue growing at faster-than-expected rates. In such a situation, influenced by a number of supply and demand factors, the environment in the international markets of raw materials and food products remains inflationary, just as the inflation in the partner countries runs a path which is higher relative to the previous forecasts. In this circumstance, mostly an inflationary impact is expected from the external sector on the Armenian economy.

The current economic growth developments in Armenia in 2021 are assessed as more positive than expected, owing to larger increases reported in agriculture and services. Aggregate demand is growing at a slightly faster-than-expected rate, which continues to be supported by strong private consumption growth, larger-than-expected remittances from abroad, and a positive external demand environment, while private investment growth remains relatively subdued. In such circumstances, the Board of the Central Bank estimates that the surpassing growth of private consumption over production capacity currently contributes to the expanding of the domestic inflationary environment.

The short-term acceleration of inflation in recent months is mainly due to rising seasonal food product prices, whereas the core inflation has been hovering at a level lower than anticipated. On the other hand, mainly inflationary effects continue coming from both the external and domestic economies, this is why the CBA Board finds it reasonable to raise the policy rate. At the same time, the Board considers that consistent tightening of monetary conditions recently is having a significant impact for handling the surpassing demand, containing the inflation, and fulfilling the inflation target in the medium run. Under such conditions, it is forecasted that the 12-month inflation will remain

high up until the end of the year, then in 2022 it will approach the 4% target and will stabilize around it in the medium term.

As uncertainties over the economic outlook are still persisting, the CBA Board estimates that the risks to inflation deviating from the projected mid-term path are balanced, and should they materialize, the CBA will stand ready to respond accordingly in fulfilment of the price stability objective.

Press Service of the Central Bank of Armenia